

UPI PAYMENT FRAUD

Case study

UPI fraud represents a surging cyber threat in India, exploiting the popularity of the Unified Payments Interface for quick digital transactions. This case study examines Victim V1's ordeal—a real incident from a 2025 IJSATE research paper—where scammers drained over INR 18,000 via phishing disguised as a utility bill scam.

Crime Details

The core crime involves social engineering and malware to hijack UPI-linked bank accounts on apps like Google Pay or PhonePe. Fraudsters impersonate trusted entities, tricking users into granting remote access or approving fake payments, bypassing OTPs through malware or shared credentials.

Execution Steps

1. **Lure Phase:** Victim receives an alarming SMS about an unpaid MSEB electricity bill, including a forged PDF with the utility logo and a "pay now" link.
2. **Malware Deployment:** Clicking the link downloads a disguised .exe file (e.g., mimicking TeamViewer), granting scammers remote control of the device.
3. **Probe Transaction:** A minor test debit of INR 3 pings the victim's phone; they notice but face cyber portal delays in reporting.
4. **Mass Extraction:** Fraudsters then execute larger UPI transfers: INR 11,000 from one account and INR 7,000 from another linked profile.
5. **Cover Tracks:** Banks detect anomalies, reverse some "shadow credits," but recovery stalls due to victim delays.

Target Profile

Primarily tech-savvy urban professionals and daily UPI users (e.g., for bills, shopping), who overlook phishing urgency. FY 2025-26 saw 1.63 million cases, totaling INR 12 billion in losses, per reports.

Severe Consequences

Victims suffer immediate financial hits, frozen accounts, endless KYC verifications, and emotional distress from betrayal. RBI mandates refunds within days if reported promptly via cybercrime.gov.in, but many recover nothing. Systemically, it undermines digital economy trust, prompting enhanced app security like biometric locks.